## Quillon Harbor Advisors LLC

www.quillonharbor.com

May 3, 2019

Thomas Le
VP Finance
Browning, Duffy and Santos

Dear Thomas:

Thank you for the conversations that brought us to this letter, and for the candor with which you and your colleagues described the business unit the company has decided to sell, which we refer to below simply as the Business. This letter sets out the work we will do for Browning, Duffy and Santos in preparing the Business for sale and in running the process that sells it, together with the terms on which we will do that work.

A carve-out asks more of a seller than the sale of a whole company does, because buyers are being asked to value something that has never stood on its own, and their first questions will be about what it costs to run the Business without the company around it. Most of what we propose is aimed at answering those questions ourselves, in writing, before the first buyer is called. The deliverables are these, in roughly the order we expect to produce them:

- A separation profile of the Business, prepared with your finance and operations staff, identifying what it shares with the rest of the company today (people, systems, facilities, and contracts) and what a buyer would need in place on its first day of ownership.
- A standalone financial presentation, built with you and your team, that shows the corporate costs now allocated to the Business, our estimate of what those functions would cost a new owner, and the adjustments we expect buyers to raise first.
- An outline of the transition services the company would be prepared to provide after closing, and for how long, so that the question is settled on our side before any buyer puts it to us.
- A short anonymous profile and a confidential information memorandum, each describing the Business by sector and size, and neither identifying the company to a reader who has not signed a confidentiality agreement you have approved.
- A list of 140 prospective buyers, strategic and financial, which we will review with you name by name before anyone is approached, followed by outreach to the parties you approve.
- Management of the process from first contact through final bids: confidentiality agreements, the data room, management meetings, the collection and comparison of indications of interest, and our advice on the terms of whichever proposal you choose to pursue.

Some decisions in a carve-out belong to the company alone, chiefly which people, contracts, and systems go with the Business and how long the company will support it after closing. We will put each of them to you as soon as the separation profile shows it to be needed, together with our view of how buyers are likely to read the answer.

Mark Allen, a Partner of the firm, will lead the engagement day to day and will be your first call on any question, however small it seems. Sarah Fletcher, an Advisory Associate, will run buyer outreach and will be the voice most buyers hear from us, while Angela Cole, an Analyst, will build the buyer list and work alongside your team on the standalone financial presentation.

I will stay close to the work throughout, and I will read anything that goes to a buyer under our name before it is sent. We have kept the team small on purpose, so that the people who learn the Business in the first weeks are the same people who explain it to buyers later, and on your side we will look to you as our principal contact unless you tell us otherwise.

We expect the process to run roughly six months, and we will bring a proposed working calendar to our first session with your team. We cannot promise that it will end with a buyer at a price the company is willing to accept, and nothing in this letter should be read as that promise. What we will do is tell you plainly, at each stage, where every party stands.

## Fees and payment

Our fee for the engagement described in this letter is $39,000. We will invoice it in installments as the work proceeds, and each invoice is payable within thirty days of receipt. Reasonable out-of-pocket expenses, chiefly travel and the cost of the data room, are billed at cost in addition to the fee, and we will ask you before incurring any single expense of real size.

## Term and termination

Our work begins on May 13, 2019 and continues until a transaction closes or one of us brings the engagement to an end. Either of us may end it at any time by written notice to the other; fees invoiced and expenses incurred up to the date of that notice remain payable, and the confidentiality and liability provisions below survive it.

## Confidentiality

We will hold in confidence everything the company shares with us and use it only for this engagement. In any material that circulates beyond our two firms, the Business will be described by sector and revenue band rather than by name, and we will disclose the company's identity only to parties that have signed a confidentiality agreement in a form you have approved.

### Information and reliance

The company will give us access to the people and records we reasonably need, and will tell us promptly if anything it has given us proves inaccurate or incomplete. We will rely on that information without verifying it independently, and we will say so in any material we prepare from it.

### Limitation of liability

Our aggregate liability to the company in connection with this engagement is limited to the fees we have received under this letter, except to the extent a loss is finally determined to have resulted from our gross negligence or willful misconduct. Neither of us will be liable to the other for indirect, special, or consequential damages, however they arise.

### Governing law

This letter is governed by the laws of the state in which our principal office is located, without regard to its conflict-of-laws rules. It is the whole of our agreement about this engagement, and it may be changed only in a writing that both of us have signed.

If this letter reflects your understanding, please sign both copies where indicated below and return one to me; the other is for your files. When we have it, Mark Allen will call you to set the date of our first working session with your team.

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**Heather Delacruz**
Managing Partner
Date: May 3, 2019

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**Thomas Le**
VP Finance, Browning, Duffy and Santos
Date: May 3, 2019